



2021 TRIAL

HSC ECONOMICS

Candidate number:

Date: Tues 17 Aug (AM)
Total Time: 3 hours & 5 minutes
Total Marks: 100
Weighting: 45% of total assessment mark
Outcomes Assessed: All

Checklist:

Each boy should have the following:

- ☐ Question Paper
- ☐ Answer Booklet
- ☐ 2 Writing Booklets

General Instructions:

- Reading Time: 5 minutes
- Working Time: 3 hours
- Write using black pen
- Write your candidate number above and on the top of the Answer Booklet and all Writing Booklets used
- Put your Question Paper and all Writing Booklets inside your Answer Booklet and hand up in one bundle

Structure of Paper and Specific Instructions:

- **Section I: Multiple Choice (20 marks)**
Answer all questions in the Answer Booklet. Select the alternative A, B, C or D that most fully and correctly answers the question
- **Section II: Short Answers (40 marks)**
Answer all parts of the 4 questions in the Answer Booklet
- **Section III: Stimulus Extended Response (20 marks)**
Attempt one question from this section in a Writing Booklet. Answer this question after carefully reading the stimulus material
- **Section IV: Extended Response (20 marks)**
Attempt one question from this section in a Writing Booklet
- Board approved calculators may be used

SECTION I: MULTIPLE CHOICE

20 marks

Attempt ALL questions

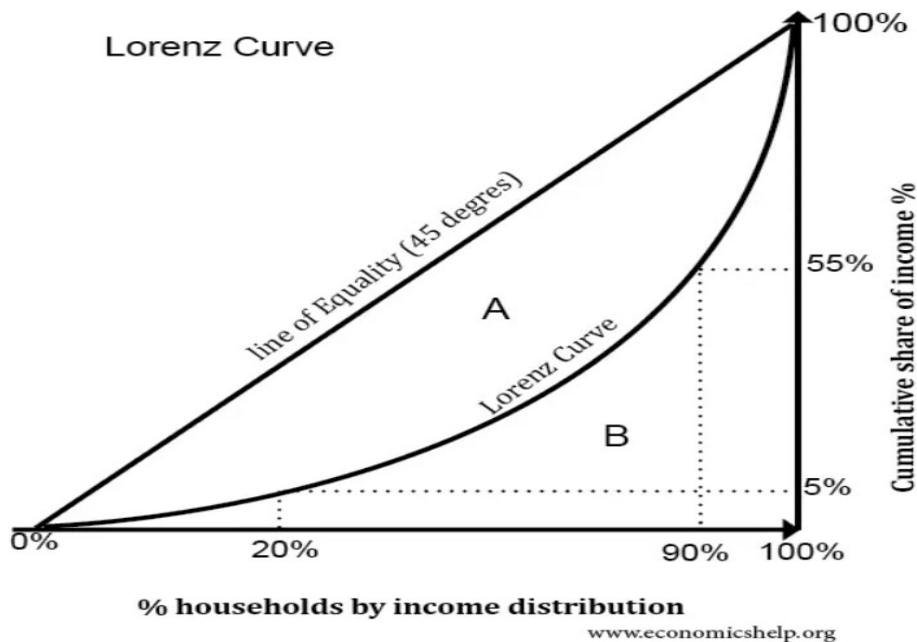
Select the alternative that best answers the question

Mark your answers on the sheet provided in the ANSWER BOOKLET

Spend no more than 35 minutes on this section

1. When Is full employment reached?
- A When unemployment is zero
 - B When structural unemployment is zero
 - C When cyclical unemployment is zero
 - D When frictional unemployment is zero

2. The following graph represents a Lorenz Curve for a hypothetical economy:

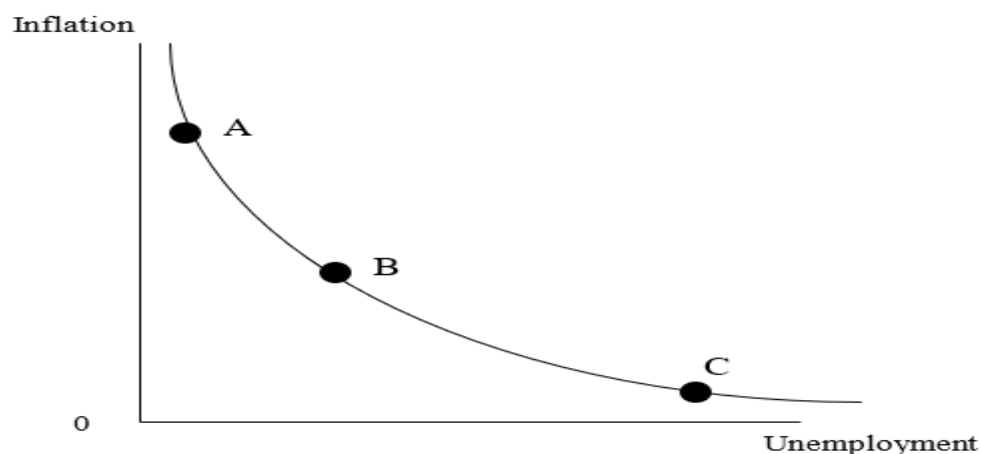


Which statement is not true?

- A The bottom quintile of households earn 5% of the total income
- B The Gini Coefficient can be represented by Area A divided by Area B + Area A
- C 55% of the total income is earned by the top 10% of households
- D The households between the lowest 20% and highest 10% earn 50% of the total income

3. Which of the following would not strengthen the international business cycle?
- A More regulation of financial sectors
 - B Greater technology flows
 - C Better transport networks
 - D Higher quotas

4. The following diagram shows the relationship between inflation and unemployment for a hypothetical economy:



Which of the following are the best policy options for the relevant scenarios?

	Point A	Point C
A	Higher govt expenditure	Higher interest rates
B	Higher income tax rates	Higher minimum wage
C	Lower income tax rates	Higher Goods & Services Tax rates
D	Higher interest rates	Lower income tax rates

5. To which microeconomic efficiencies do these diagrams refer?

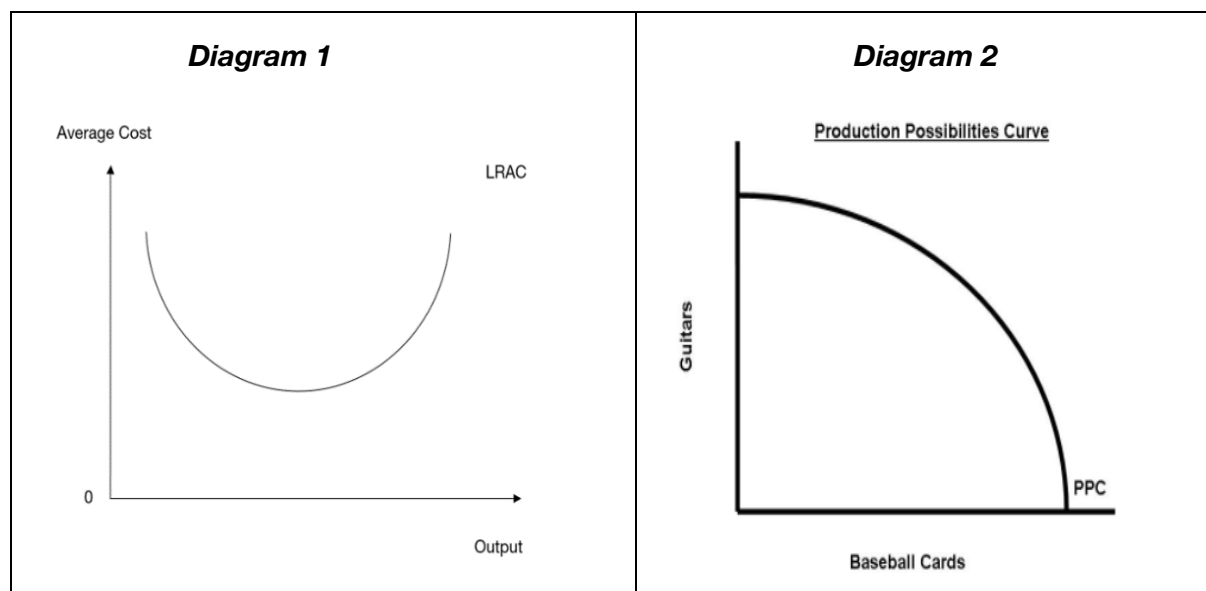
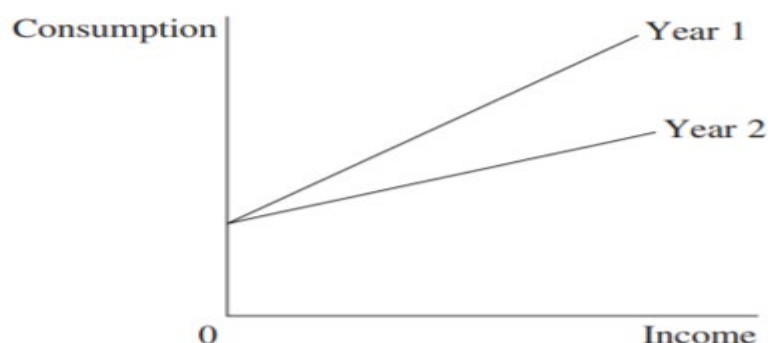


	Diagram 1	Diagram 2
A	Allocative	Technical
B	Technical	Allocative
C	Dynamic	Technical
D	Technical	Productive

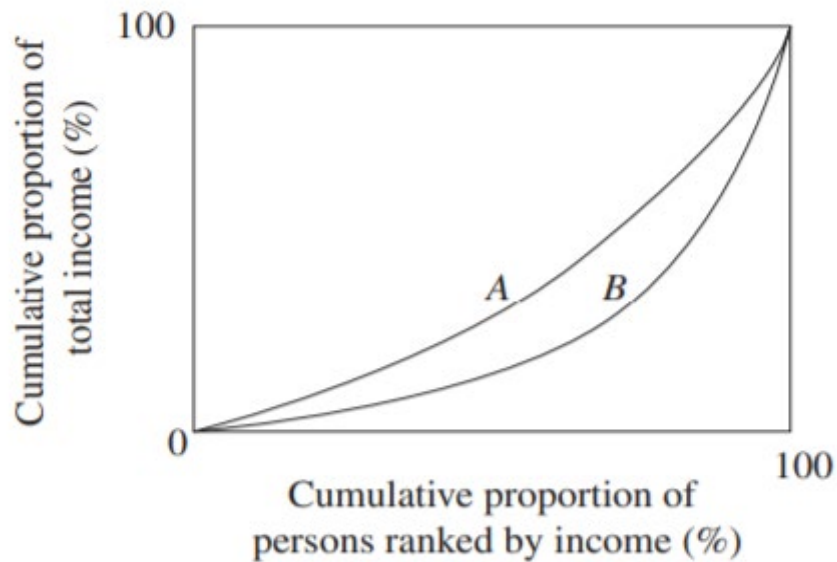
6. The following diagram shows the relationship between an economy's consumption and income:



Which of the following statements is true for the shift from Year 1 to Year 2?

	<i>Marginal Propensity to Consume</i>	<i>Size of the Multiplier</i>
A	Lower	Bigger
B	Lower	Smaller
C	Higher	Bigger
D	Higher	Smaller

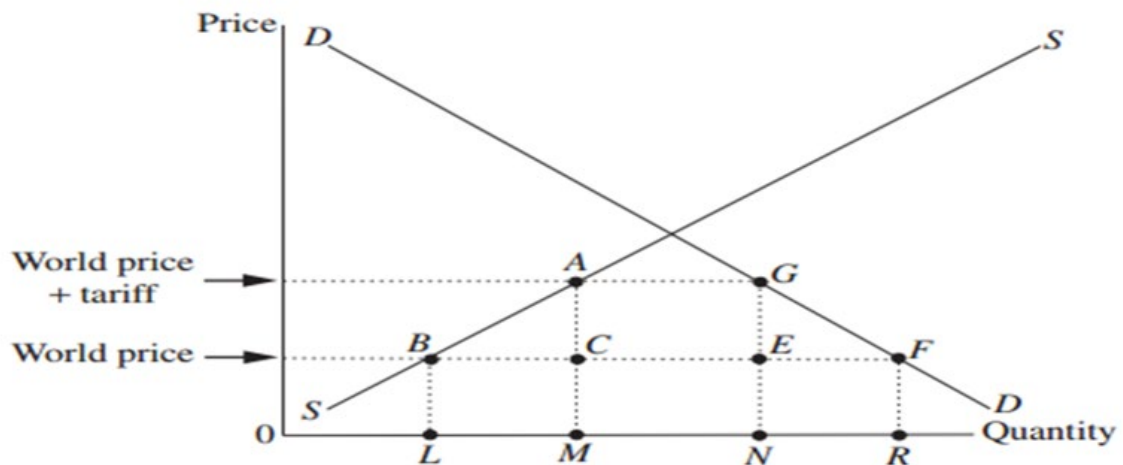
7. The following diagram shows the shift in the Lorenz Curve from A to B experienced by a hypothetical economy:



Which of these combinations would be most likely to have caused this shift?

	<i>Change in Goods & Services tax</i>	<i>Change in top marginal Income tax rate</i>
A	Decrease the rate	Increase
B	Increase the rate	Decrease
C	Increase the rate	Increase
D	Decrease the rate	Decrease

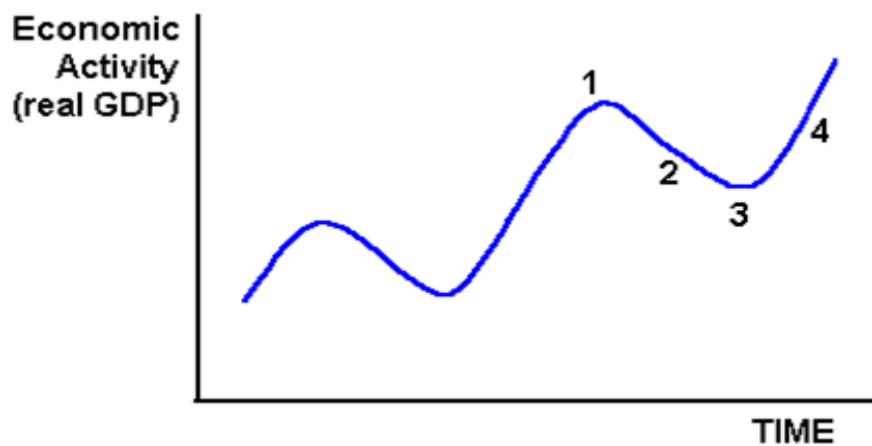
8. The following graph relates to the impact on an economy following the removal of a tariff on a particular good:



Which area represents the gain in net income experienced by foreign producers?

- A BFRL
- B CENM
- C BCML + EFRN
- D BAML + GFRN

9. The following graph shows a business cycle for a particular economy:



What economic issues would arise as the economy moves from Point 1 to Point 3?

A	Higher unemployment	Worsening environmental sustainability
B	Lower employment	Higher import levels
C	Lower living standards	Higher inflation
D	Lower participation rate	Greater income inequality

10. The table below refers to equilibrium levels of various flows in hypothetical 3 sector economy:

Year	National Income (\$)	Consumption (\$)
1	5000	4000
2	6000	4800
3	7000	5600

If the government wishes to increase the level of National Income to \$9000 in Year 4, by how much will it need to increase investment?

- A \$200
- B \$400
- C \$1600
- D \$2000

11. Which of the following combinations is most likely following the RBA's decision to buy fewer Commonwealth Govt Securities in its quantitative easing program?

	Stance	Increase in Australian GDP	Increase in Inflationary Expectations
A	Contractionary	Slows	Lower
B	Contractionary	Higher	Higher
C	Expansionary	Higher	Lower
D	Expansionary	Slows	Higher

12. The table below shows labour market data for a hypothetical economy:

	Year 1	Year 2
Unemployed	3	3
Working Age Population	30	40
Full-Time Employed	15	20
Underemployed	10	15
Part-Time Employed	6	7

Which of the following reasons would account for the changes from Year 1 to Year 2?

	Reason for change in the participation rate	Reason for the change in the Unemployment rate
A	Increased govt expenditure on infrastructure	Increased international competitiveness
B	Increase in childcare subsidy payments	Global economic recession
C	Lower retirement age	Increased govt spending on retraining
D	Increase in school retention rates	Increased consumer confidence

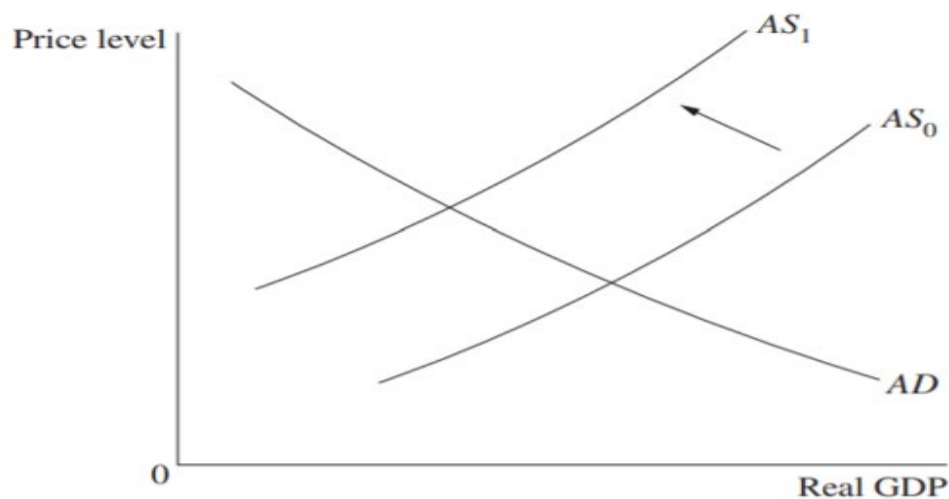
13. The following table is data from a hypothetical economy with the base year for both GDPs and the CPI being 2019:

Year	Nominal GDP	Real GDP
2020	115	110

Which of the following statements is correct?

- A The rate of economic growth in 2020 was 15%
- B The CPI rose by more than the % change in real GDP in 2020
- C Nominal GDP rose by more than real GDP in 2020 because there was deflation
- D The rate of inflation in 2020 was approximately 4.5%

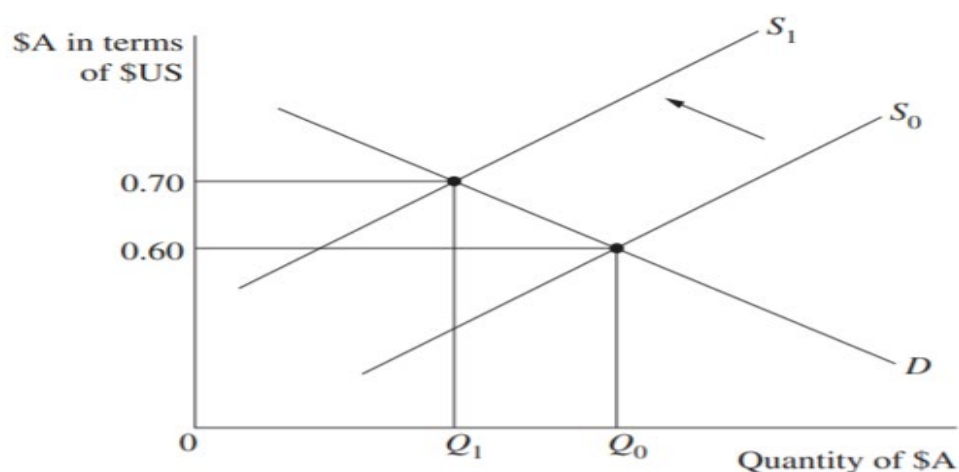
14. The graph below shows aggregate demand and aggregate supply for a hypothetical economy:



Which of the following is most likely to have caused the shift from AS_0 to AS_1 ?

- A An appreciation of the country's exchange rate
 - B A fall in the country's growth rate
 - C A fall in inflationary expectations
 - D An increase in mandatory employer superannuation contributions
15. Which of the following outcomes has not emerged as a result of the Fair Work Act of 2009?
- A The encouragement of individual contracts through higher Federal Awards
 - B The establishment of the Minimum Wage Panel to determine minimum rates of pay for employees not covered by an award or enterprise agreement
 - C The implementation of 10 Minimum Employment Standards for all workers
 - D Enterprise Agreements are subject to ratification by the Fair Work Commission through the Better Off Overall Test

16. The graph below shows the foreign exchange market for Australian dollars:



Which of the following is most likely to have caused the shift from S_0 to S_1 in the first instance?

- A Lower foreign investment into Australia
- B Fewer foreign students coming to Australia
- C Lower purchases of Australian goods by foreigners
- D Lower export revenue received by foreign producers from Australians

17. The table below shows the price indices and volumes for imports and exports for a hypothetical economy over two years:

Year	Imports		Exports	
	Price Index	Volume (Q)	Volume (Q)	Price Index
1	100	100	100	100
2	105	120	105	110

How have net exports and the terms of trade changed between Year 1 and Year 2?

	Net Exports (\$)	Terms of Trade
A	Risen	Risen
B	Risen	Fallen
C	Fallen	Risen
D	Fallen	Fallen

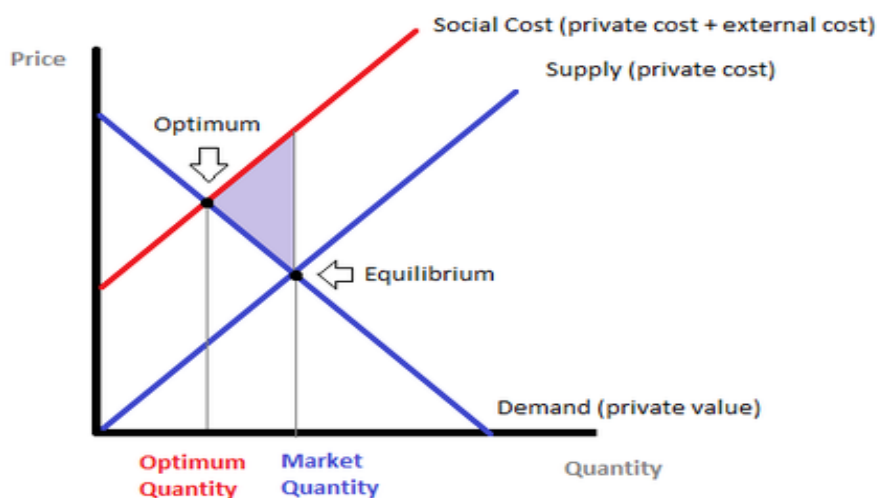
18. Which of the following could lead to an improvement in the structural component of Australia's current account surplus?

- A An increase in portfolio investment in foreign firms by Australians
- B An increase in export volumes due to a strengthening global economy
- C Broadening of Australia's export base
- D A decrease in servicing costs on foreign loans due to falling global interest rates

19. Which of the following are the likely effects of automatic stabilisers on a government's budget when the economy grows faster than forecast?

	<i>Income Tax Receipts</i>	<i>Welfare Spending</i>	<i>Budget Outcome</i>
A	Increase	Decrease	Larger surplus
B	Decrease	Increase	Smaller deficit
C	Decrease	Decrease	Larger deficit
D	Increase	Increase	Smaller surplus

20. The graph below which shows the demand and supply curves for the electricity market, whose production has a negative impact on the environment:



Which combination of policies would best assist the market to move to the most appropriate position for society?

A	Subsidise the purchase of heaters which use electricity	Impose a price ceiling on electricity
B	Introduce an emissions trading scheme linked to electricity	Subsidise solar energy production
C	Impose a price floor on electricity	Impose quotas on alternative energy sources
D	Raise any indirect taxes on alternative energy sources	Subsidise electricity production

END OF SECTION I

SECTION II: SHORT ANSWERS

40 Marks

The questions for Section II are contained in the ANSWER BOOKLET

Please complete your answers in the spaces provided

Marks for each part of the question are as indicated

Spend no more than 1 hour and 15 minutes on this section

SECTION II: SHORT ANSWERS

40 marks

Marks for each part of the question are indicated

Answer the questions in the spaces provided below

Spend no more than 1 hour and 15 minutes on this section

Question 21

- (a) State a precise example of an item which would be recorded as a debit on Australia's Capital Account in its Balance of Payments. (1 mark)

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- (b) Using the information below, calculate the value of this country's Capital Account. (1 mark)

	\$ bn
Net Secondary Income	-5
Financial Account	70
Goods Exports	100
Goods Imports	90
Balance of Goods & Services	30
Net Errors & Omissions	-10
Primary Income Debits	120
Primary Income Credits	25

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- (c) Explain TWO factors which influence Australia's international competitiveness. (4 marks)

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Question 21(c) continues on the opposite page

Question 21 (c) continued

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- (d) Explain why Australia's Net Foreign Liabilities were declining in the 2 years prior to COVID-19. (4 marks)

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Question 22 starts overleaf

Question 22

- (a) Describe ONE way in which microeconomic policies are complementary to macroeconomic policies. (2 marks)

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- (b) Outline the difference between factor and product markets. (2 marks)

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- (c) Using an Australian example, explain how ONE microeconomic policy has caused structural change in the economy. (3 marks)

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Question 22 continues on the opposite page

Question 22 continued

- (d) Describe three problems normally associated with microeconomic policies.
(3 marks)

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Question 23

- (a) How has the composition of Australia's exports changed since 2000?
(2 marks)

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- (b) Explain how the Australian government has embraced globalisation.
(4 marks)

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Question 23 (b) continues overleaf

Question 23 (b) continued

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- (c) Discuss the implications for the Australian economy of increasing levels of protection imposed by its major trading partners. (4 marks)

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Question 24 starts on the opposite page

Question 24

- (a) Outline the difference between awards and enterprise agreements. (2 marks)

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- (b) Explain ONE benefit and ONE cost associated with labour market deregulation. (4 marks)

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Question 24 continues overleaf

Question 24 continued

- (c) Using ONE specific example, assess the success of a policy introduced by the Australian Federal government to improve environmental outcomes.
(4 marks)

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END OF SECTION II
SECTIONS III & IV ARE BACK ON THE QUESTION PAPER

SECTION III: STIMULUS EXTENDED RESPONSE

20 marks

Attempt EITHER Question 25 OR Question 26

Answer your chosen question in a **WRITING BOOKLET**

Allow at least 35 minutes for this question

In your answer you will be assessed on how well you:

- Demonstrate knowledge and understanding relevant to the question
- Use the information provided
- Apply relevant economic terms, concepts, relationships and theory
- Present a sustained, logical and cohesive response

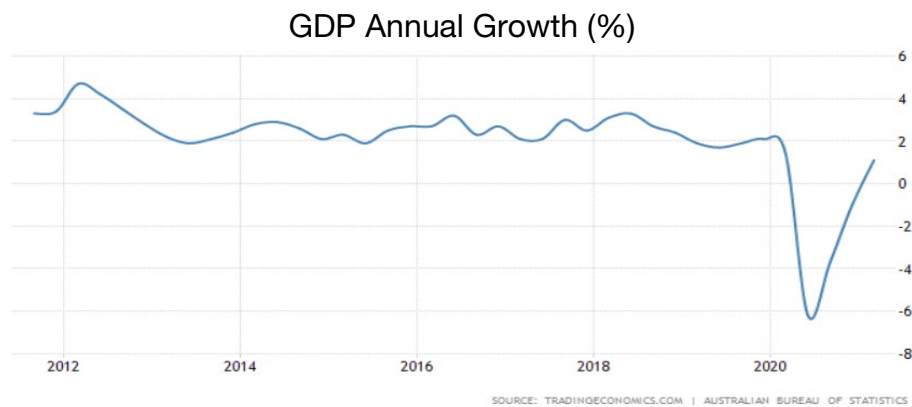
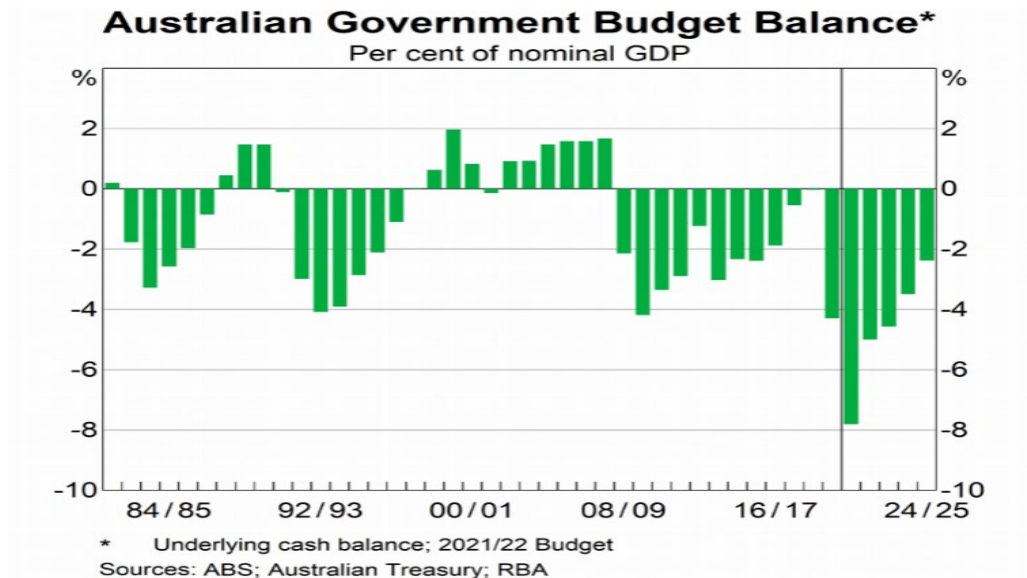
EITHER

25. Assess the effectiveness of monetary policy in Australia in achieving its objectives.



OR

26. Assess the effectiveness of fiscal policy in Australia in achieving its objectives.



END OF SECTION III

SECTION IV: EXTENDED RESPONSE

20 marks

Attempt EITHER Question 27 OR Question 28

Answer your chosen question in a separate WRITING BOOKLET

Allow at least 35 minutes for this question

In your answer you will be assessed on how well you:

- **Demonstrate knowledge and understanding relevant to the question**
- **Apply relevant economic terms, concepts, relationships and theory**
- **Present a sustained, logical and cohesive response**

EITHER

27. Compare the impacts of globalisation on BOTH Australia AND one other economy that you have studied.

OR

28. Compare the impacts of changes in the global economy on Australia's internal and external economic objectives.

END OF THE EXAMINATION

Candidate Number.....

**2021 TRIAL
HSC ECONOMICS
ANSWER BOOKLET FOR SECTIONS I & II**

SECTION I: MULTIPLE CHOICE

(1) A B C D

(11) A B C D

(2) A B C D

(12) A B C D

(3) A B C D

(13) A B C D

(4) A B C D

(14) A B C D

(5) A B C D

(15) A B C D

(6) A B C D

(16) A B C D

(7) A B C D

(17) A B C D

(8) A B C D

(18) A B C D

(9) A B C D

(19) A B C D

(10) A B C D

(20) A B C D

SGS 2021 TRIAL

CRITERIA, SOLUTIONS & SUGGESTIONS

MULTIPLE CHOICE

1 C

2 C

3 A

4 D

5 B

6 B

7 B

8 C

9 D

10 B

11 A

12 C or D

13 D

14 D

15 A

16 D

17 C

18 C

19 A

20 B

Short Answer Criteria

Q 21

(a) State a precise example of an item that would be recorded as a debit on Australia's Capital Account in its Balance of Payments

Criteria	Marks
<i>Correct item that is a debit</i>	1

Eg Aust giving conditional foreign aid; Aust entity purchases foreign intellectual property rights

(b) Calculate the Current Account

Criteria	Marks
<i>Correct answer \$10 Bn</i>	1

(c) Explain two factors which influence Australia's international competitiveness (IC)

	Marks
<i>Two distinct factors with clear explanation of their influence on Aust IC</i>	4
<i>Two factors but explanation of their influence limited</i>	3
<i>One valid factor and explanation; two factors but merely outlined</i>	2
<i>General or confused discussion</i>	1

Exchange rate; wage rates; inflation; level of protection – short term/long term

(d) Explain why Australia's Net Foreign Liabilities were declining in the 2 years prior to COVID-19.

	Marks
<i>Two or more distinct reasons with clear explanation of their influence on declining NFL</i>	4
<i>Two reasons but explanation of their influence limited</i>	3
<i>One valid explanation; two reasons but merely outlined</i>	2
<i>General or confused discussion</i>	1

NFE balance increasingly "positive" – increased Aust investment overseas in shares/property (increasing superannuation)

NFD – stable: zero interest rate differential; fiscal consolidation; slower recent EG requiring less investment; EG exceeding growth in debt – falling as % of GDP.

Q 22

(a) Describe ONE way in which microeconomic policies are complementary to macroeconomic policies.

Criteria	Marks
<i>Describes a clear positive link between micro and macro policies</i>	2
<i>Defines micro and macro policies</i>	1

Macro – AD/Short term; Micro – AS/Long term

Micro – increases AS, allows for more expansionary macro without inflationary pressures

(b) Outline the difference between factor and product markets

Criteria	Marks
<i>Accurately defines both the factor and product market</i>	2
<i>Accurately defines either factor or product market</i>	1

Factor Mkt – where FoP are bought and sold

Product – where goods and services are bought and sold.

(c) Using an example, explain how ONE microeconomic policy has caused structural change in the economy

Criteria	Marks
<i>Clear explanation of how the reform has changed the composition of the economy</i>	3
<i>Some explanation of the reform's impact on the composition of the economy</i>	2
<i>Name a relevant microeconomic policy</i>	1

Reduced protection easiest – exposed domestic producers to increased competition.

Manufacturing eg PMV (disappeared) or TCF (shrank), R's reallocated to growing mining and services sectors which are competitive.

(d) Describe three problems normally associated with microeconomic policies

Criteria	Marks
<i>Three different problems outlined</i>	3
<i>Two different problems outlined</i>	2
<i>One problem outlined</i>	1

Structural U/E, business closures, long impact lag, political constraints, creates inequality

Q 23

(a) How has the composition of Australia's exports changed since 2000

Criteria	Marks
<i>Correctly names and outlines one sector (or industry) that has increased and one that has decreased</i>	2
<i>Correctly names and outlines one sector (or industry) that has either increased or decreased</i>	1

Decreased manufacturing, rural; increased mining and some services – education/tourism.

(b) Explain how the Australian government has embraced globalisation

	Marks
<i>Two (or more) distinct examples with clear explanation of the govt's positive influence on globalisation</i>	4
<i>Two examples with an outline of the connection between the govt and globalisation</i>	3
<i>One valid example and explanation; two examples merely outlined</i>	2
<i>Reasons provided are not linked to government policies</i>	1

Decreased protection and increased trade agreements; reduced restrictions on foreign investment; member of international organisations; ↑ skilled migration into Aust

(c) Discuss the implications for the Australian economy of increasing levels of protection imposed by its major trading partners

Criteria	Marks
<i>Briefly examined 4 distinct implications or two in detail</i>	4
<i>Briefly examined 3 distinct implications; or two in detail but lacked sufficient depth</i>	3
<i>Briefly examined 2 distinct implications or more but with errors</i>	2
<i>General or confused discussion</i>	1

Decreased exports (tariffs)/increased imports (subsidies)

Worsening BOGS/CAD; cheaper imports reducing inflation; closure of firms – increased structural U/E; lower EG; potential retaliation by Aust

Q 24

(a) Outline the difference between awards and enterprise agreements

Criteria	Marks
<i>Accurately defines both the awards and enterprise agreements</i>	2
<i>Only one definition accurate</i>	1

Award – set by FWC – safety net of pay and conditions specific for an occupation or industry.

Enterprise bargaining – negotiated at the workplace between employees and employers.

(b) Explain ONE benefit and ONE cost associated with labour market deregulation

Criteria	Marks
<i>Named and clearly explained one benefit and one cost of labour market deregulation</i>	4
<i>Named one benefit and one cost but merely outlined two each</i>	3
<i>Named and explained one benefit/cost; named one of each but poor explanation</i>	2
<i>Correctly named one benefit or cost of labour market deregulation</i>	1

Benefits – efficient allocation of labour R's; encourages productivity; flexibility to adjust to economic shocks; increased international competitiveness.

Costs – increased Y inequality; unskilled lack bargaining power; unscrupulous work practices; one less policy tool for govt.

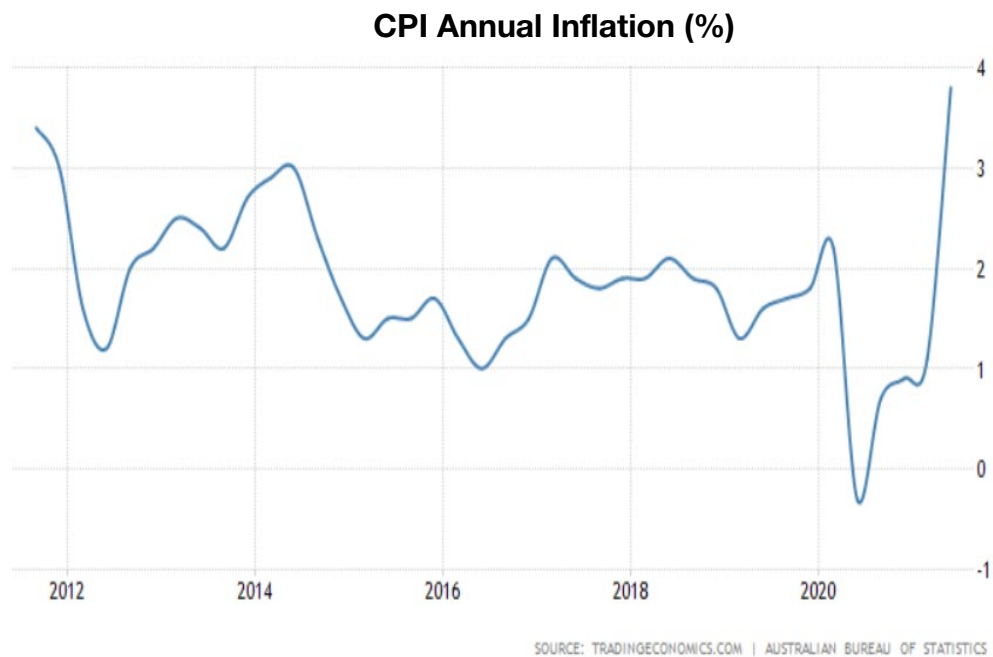
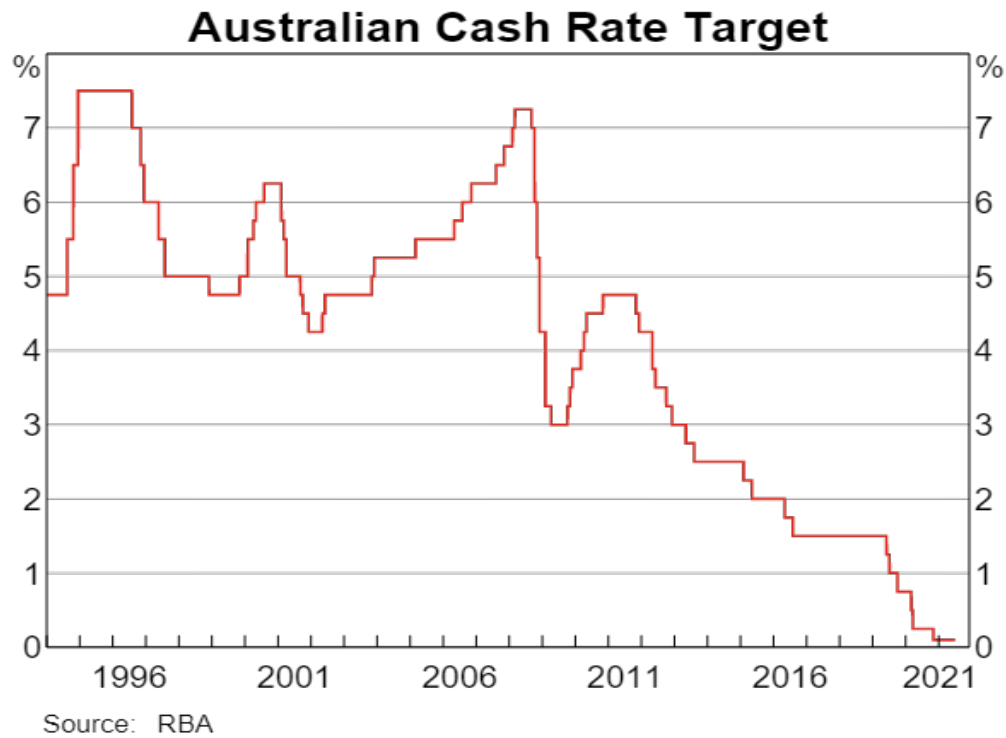
(c) Using ONE specific example, assess the success of a policy introduced by the Australian Federal government to improve environmental outcomes.

Criteria	Marks
<i>Clear explanation of the details of the policy, and specific assessment of its success</i>	4
<i>Reasonable detail of the policy and some detail of its success or otherwise</i>	3
<i>General overview of an environmental policy and its outcomes</i>	2
<i>Correctly named a government environmental policy</i>	1

Carbon tax; ERF; RET; Paris Agreement; Murray Darling Basin Plan

SGS HSC TRIAL EXAMINATION 2021

25. Assess the effectiveness of monetary policy in Australia in achieving its objectives.



CRITERIA	MARKS
- Demonstrates factually precise and extensive knowledge to develop a logically sequenced answer that clearly assesses the effectiveness of monetary policy in terms of achieving its objectives - Uses relevant data to support a contemporary and comprehensive discussion that recognizes the objectives under which monetary policy is set - Integrates economic terms, concepts, issues, relationships and theory in a highly competent manner	17 - 20
- Good use of appropriate knowledge to develop an answer that highlights the effectiveness of monetary policy in terms of achieving its objectives - Uses relevant data to support a discussion of the objectives under which monetary policy is set, but lacking some depth of analysis - Sound usage of economic terms, and concepts and relationships are applied in reasonable detail	13 - 16
- Uses correct and usually relevant information to demonstrate some knowledge and understanding of the effectiveness of monetary policy in terms of its objectives - Discussion of the effectiveness of monetary policy is flawed in places, detracting from the quality of the response - Use of economic terms, concepts and relationships is limited, highlighting weak comprehension	9 - 12
- Lacks any development of a suitable response - Makes minimal use of data to support discussion - Use of relevant economic terms, concepts and relationships is extremely limited	5 - 8
A response that reflects a standard barely above a non attempt	1 - 4

Marks

20 - 3; 19 - 3; 18 - 4; 17 - 9; 16 - 13; 15 - 6; 14 - 5; 13 - 3; 12 - 2; 11 - 2

Mean = 15.9 & Median = 16

Comments

- The standard certainly varied. The better answers mostly worked within time periods, outlined leading indicators, prioritised objectives (price stability; full employment & eco prosperity – i.e. sustainable eco growth!), discussed the policy stance and **ONLY THEN** examined the effectiveness of the policies
- Many wrote all they know on monetary policy theory and a narrative about changes in stance without answering the question - **assessing the effectiveness**
- A (detailed) explanation on the implementation not necessary unless you tie in the unconventional liquidity measures introduced during emergency stimulus settings in 2020
- There is a short Implementation Lag (monthly) for MP but a long **IMPACT LAG** (6-18+ months) between the cash rate change and the change in the CPI
- STATS, STATS** and more **STATS**...are needed to write a decent response

Answers could include:

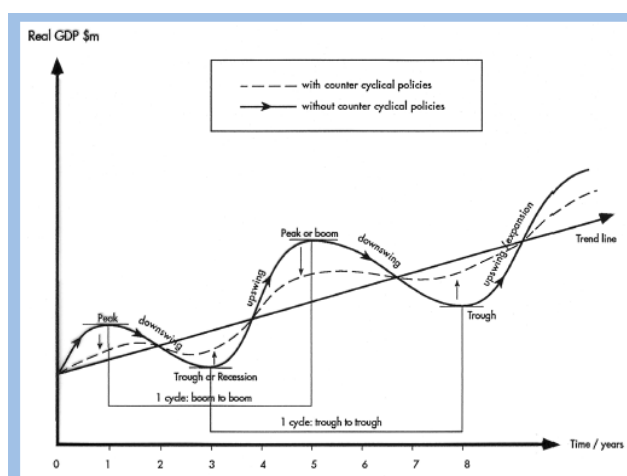
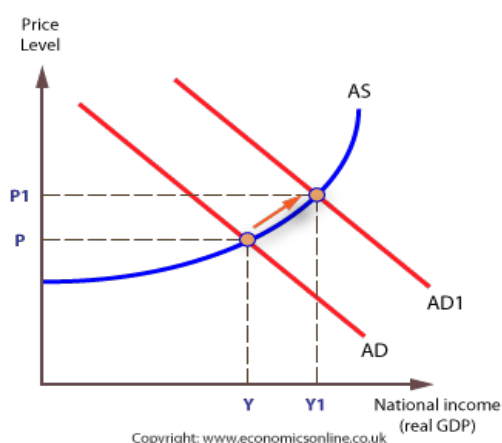
INTRODUCTION

- Definition of monetary policy, objectives and a brief statement about effectiveness

BODY

Relevant theoretical diagrams:

- MP as instrument of macro policies (Cyclical/Demand-Side/ $Y=C+I+G+X-M$)
- Countercyclical or income and expenditure analysis diagram much more useful than the corridor diagram for implementing MP
- Please LABEL correctly and REFER to them if you include them.



MONETARY POLICY

Introduction

- Is undertaken by the RBA, NOT the Govt.
- Is generally the “swing arm” instrument
- Specific aim is to achieve inflation target of 2-3% pa **on average over time** as this is regarded as a **pre-condition for achieving sustainable eco growth**
- Works via the transmission mechanism which has a number of channels: inter-temporal substitution (or C, S & I) effect, cash-flow/liquidity, expectations, exchange rate and asset p/wealth – in theory, anyway.

Recent Policy

- In detail inc. **SPECIFIC** reference to **inflation target & objectives**:

2009 – 2011 = Mining Boom Mark II: I Phase – Contractionary Stance

x 7 cash rate rises to 4.75% (last one was Nov 10) as inflation pressures emerged coming out of the GFC. Growth back up to 3.3% in 2009/10 as Mining Boom Mark II takes /took hold. Petrol, utilities (gas, elec and water) and food prices (floods, Cyclone Yasi, supply issues) main contributors to inflation with CPI reaching 3.6% in 2011 and underlying rate strengthening to 2.75%. Concern too re capacity constraints inc NAIRU as unemp falls to 5%. Also, one negative growth quarter due to natural disasters as well as Euro and US financial crises suggest next movement would be down

2012 – 2016 = Mining Boom Mark III: Q Phase/Start of Secular Stagnation

Challenging times for the RBA with growth slowing to 2.5% (3/13) and unemp rising to 5.7% (7/13). Also issue of 2 speed economy with WA and Qland booming with mining but other states struggling. RBA cut the cash rate to 2.75% (5/13) and again to 2.5% (8/13). Note this was then an all-time low for the cash rate and lower than the 'emergency setting' of 3% in the GFC. Main reason was little evidence of demand-pull or cost-push inflation pressures. D-side: weak C; high S (10.5% of Y); mining I peak; other I slow (RBA waiting on dwelling I to ↑; **the so-called baton change**). S-side: wage price index subdued (3.1% pa in 5/13); other cost pressures weak. Also imported inflation pressures reduced with the (still relatively) high \$A making M (of both final g and **plus** inputs) cheaper. China also slowed with growth estimate for 2012 of 7.5%.

Euro sovereign debt crisis was not resolved quickly, whilst USA and Japan not recovering. Clearly global uncertainty was denting consumer confidence both here and across the globe

2016-2019 Continuing Secular Stagnation

i) 2016-2017: May 2016 there was another 0.25% cut to 1.75% and again in August 2016 to 1.5% (a new record low then). Expansionary stance; indeed, RBA talked about the neutral cash rate (basically the 'sweet spot' in terms of cash rates/the long-term average even) as being 3.5% rather than 4.5%. RBA faced a difficult decision as inflation was well below target and growth needed boosting but further upward pressure on an overheating housing market in Sydney and Melbourne needed to be avoided. Also doubts re its effectiveness in boosting C and I/Keynes' 'animal spirits' as confidence is lacking especially with global political turmoil

ii) 2017-2018: Cash rate was 1.5% since Aug 2016, inflation @ 2.1% - expansionary MP continued to underpin economic growth as Australia transitions to non-mining growth. GDP growth was expected to average a bit above 3 per cent in 2018 and 2019. Business conditions were fairly positive and non-mining business investment was increasing a little. Higher levels of public infrastructure investment was also supporting the economy, as was growth in resource exports. One continuing source of uncertainty was the outlook for household consumption. Household income was growing slowly and debt levels were/are high. Growth in consumption remains constrained due to low wages growth. Drought also led to difficult conditions in parts of the farm sector

iii) 2018 – 2019: A number of global and domestic risks were causing concern about Australia's economic performance:

- Trade tensions between US and China were a potential risk if Chinese economic growth was to slow – softening investment intentions
- Domestically main concern was slow growth of household consumption, constrained by low wages growth
- While unemployment steady and strong growth in jobs, underemployment remains an issue - spare capacity keeping wages growth low
- Credit restrictions on investors domestically softened the demand for housing
- The RBA left the cash rate unchanged at 1.5% for over two years (until June 2019, then dropped 50 basis points in 2nd half 2019) but mentioned

persistently re the need for the govt to apply direct fiscal stimulus due to the **diminishing marginal effectiveness of expansionary stimulus**

- **BUT** low interest rates were helping keep the \$A low which assists X and M-competing industries

2020/21 - UNPRECEDENTED STIMULUS IN RESPONSE TO COVID

Headline and underlying inflation were forecast to pick up to 2% in 2019-20 but this came to an abrupt halt with the onset of the COVID-19 pandemic. Business went into hibernation which quickly impacted on spending, output and unemployment levels. To support fiscal stimulus, MP became even more accommodative in just 17 days!!:

Date	Description	Scale
3 March, 2020	Monetary Policy Decision	Cut cash rate by 0.25% to 0.50%
16 March, 2020	Support for markets	Increased purchase of bonds and short-term securities (repos)
19 March, 2020	Unconventional Monetary Policy	Further 0.25% reduction in cash rate to 0.10% AND i) Asset Purchase/Quantitative Easing Program (\$5bn pw) targeting a yield of 0.25% for 3-year bonds ii) Forward Guidance by informing banks that there would be no increase in the cash rate until inflation was within the target; estimated to be 2023/4 iii) Term Funding Facility giving banks increased liquidity to support small businesses by offering \$90bn of loans at just 0.25% iv) Corridor Floor Adjustment so that bank deposits at the RBA will earn 0.1%pa interest not zero
19 March, 2020	Federal government SME funding	\$15 billion to purchase securities of smaller ADIs and non-ADI lenders
20 March, 2020	Easing of responsible lending requirements for small business credit	Quicker flow of funds when banks lend to small business

Then on 3/11/20, the RBA announced:

- A reduction in the cash rate target to 0.1%.
- A reduction in the target for the yield on the 3 year Australian government bond to around 0.1%.
- A reduction in the interest rate on new drawings under the Term Funding Facility to 0.1%.
- A reduction in the interest rate on Exchange Settlement Account (ESAs) balances to zero.
- The purchase of \$100b of government bonds of maturities of around 5-10 years over the next six months. These bond purchases were to be made in the secondary market through regular auctions.

Overall, these were very substantial and unprecedented initiatives. However, despite their magnitude, they may still fail to neutralise the size of the economic downturn likely experienced. The announcements provided a degree of reassurance regarding continuity of income for individuals and businesses, but there is obviously still considerable short-term economic uncertainty.

Statement on Monetary Policy – August 2021

2. Domestic Economic Conditions

Australia's economic recovery had been stronger than earlier expected, prior to the recent outbreaks of COVID-19. GDP had exceeded its pre-pandemic level and the unemployment rate declined further over the June quarter to be below its level prior to the pandemic. The broad-based rebound in private domestic demand has been supported by accommodative fiscal and monetary policy, and timely indicators suggest growth in private demand remained strong in the June quarter.

The recent lockdowns in several states will weigh heavily on activity and the labour market in the September quarter. The Australian Government and state and territory governments have introduced substantial additional fiscal measures to support households and businesses through this period. The near-term outlook is highly uncertain and largely dependent on health outcomes; however, past experience of these events, both in Australia and elsewhere, suggests the negative effects on the economy will be temporary. Beyond the near term, the outlook is a little stronger than expected at the time of the previous *Statement*. The closure of the international border and other pandemic-related disruptions will continue to have a significant effect on some parts of the economy (see '[Economic Outlook](#)' chapter).

The economy recovered to above pre-pandemic levels in the March quarter

The Australian economy grew by 1.8 per cent in the March quarter, to be around 1 per cent above its level at the end of 2019 (Graph 2.1). Both public demand and housing activity were above pre-pandemic levels, and household consumption had almost reached its pre-pandemic level. Growth in the quarter was broad based across expenditure components. A large increase of firms' inventories significantly contributed to growth in the quarter, as supply constraints eased and firms restocked to meet ongoing strong demand. The terms of trade increased to their highest level in nearly a decade, supporting business profits and government revenues.

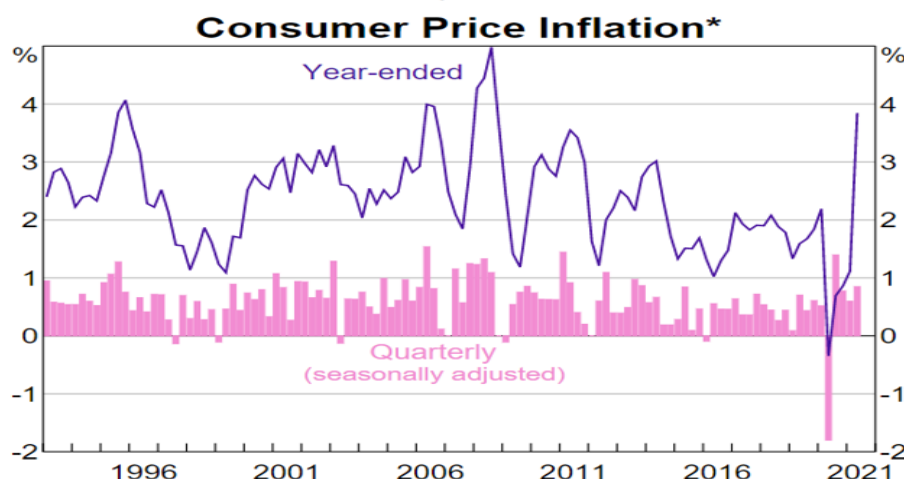
4. Inflation

Underlying price and wage pressures in the economy remain subdued. Headline inflation has continued to be affected by government subsidies and rebates as well as other one-off effects, and increased by 3.8 per cent over the year to the June quarter. Fuel prices increased further in the quarter, having now fully rebounded from the global demand shock in the first half of 2020. Goods inflation has picked up over the year, in part reflecting stronger demand and some global price pressures; however, this has been offset by subdued inflation in rents and services. Trimmed mean inflation was 0.5 per cent in the June quarter and 1.6 per cent over the year.

Wages growth in the March quarter continued to recover from the mid-2020 trough, and is returning to pre-pandemic rates. In the private sector, temporary wage cuts implemented in response to the pandemic have been mostly unwound, and some firms resumed wage reviews that were put on hold over the last year. Wages growth in the public sector remained soft, reflecting deferrals of increases and caps on wage growth in many states.

Headline inflation spiked as temporary government policies unwound, but underlying inflation remains subdued

Inflation spiked over the year to June as government subsidies for some services were removed, alongside a recovery in fuel prices from the low levels seen a year ago. The headline Consumer Price Index (CPI) increased by 0.8 per cent (seasonally adjusted) in the quarter and by 3.8 per cent over the year (Graph 4.1; Table 4.1).



Several one-off price increases over recent quarters have boosted year-ended headline inflation temporarily (Graph 4.2). The earlier unwinding of subsidies for child care and after school care, together with medical & hospital services inflation, contributed around 1¾ percentage points to the increase; health insurance premiums increased twice over the past year, after the scheduled annual premium increase in 2020 was delayed from April to October. The recovery in fuel prices and the final scheduled increase in the tobacco excise in September made smaller, but still material, contributions to inflation over the year.

Overall Effectiveness

Advantages:

- Short implementation lag (meets every month except Jan)
- Independence from govt/political pressures; eg in run up to an election has been effective in restraint

Disadvantages:

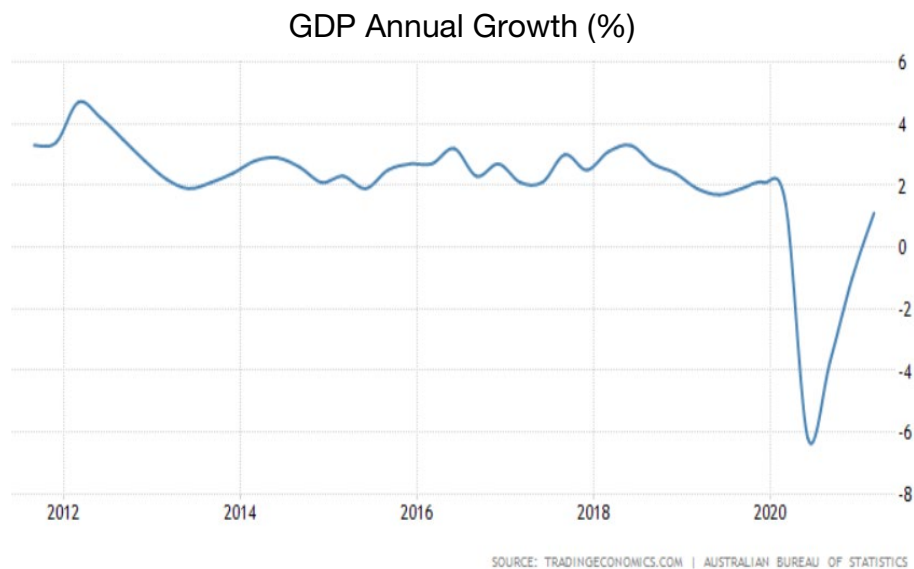
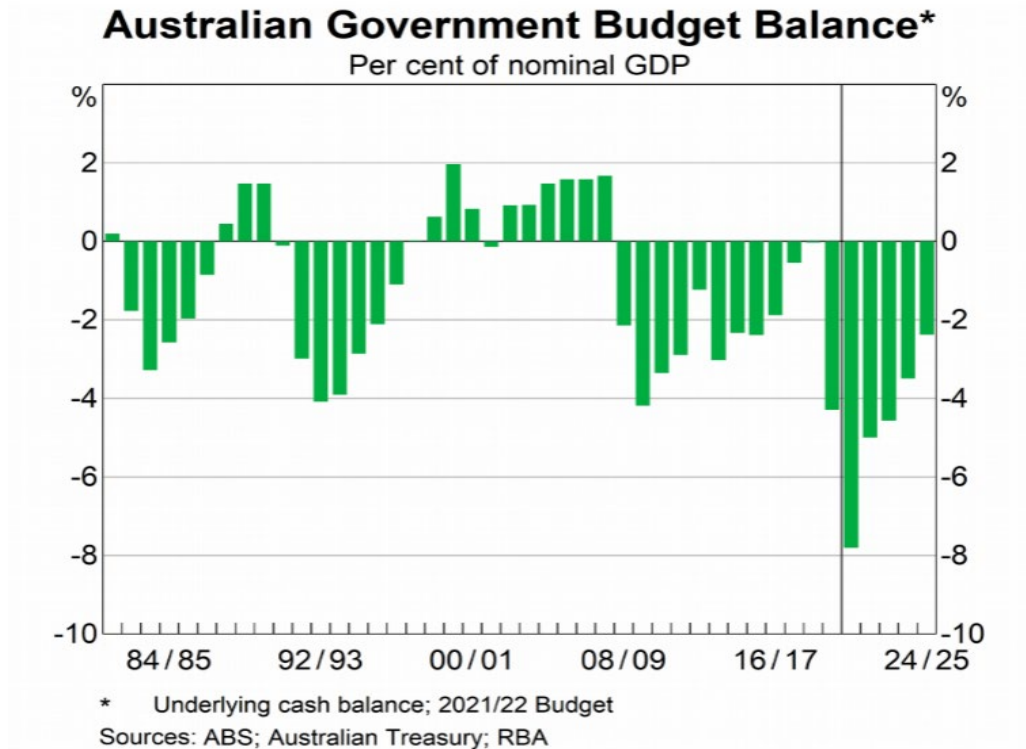
- Long impact lag (6 – 18 months for full effect; RBA's Chris Kent said a 1% ↓ in cash rate leads to an ↑ in GDP by 0.5 – 0.75% over 2 years and ↑ in inflation by < 0.25% pa over 2 – 3 years); eg reason why fiscal policy took dominant role in GFC and COVID-19
 - Blunt; eg 2011/12 unable to deal with the 2/multi-speed economy when needed to increase interest rates to curb inflation. Those increases affected all sectors through higher borrowing costs AND they contributed to the rising \$A, which helped mining indies but not service and other X industries, nor import-competing indies
 - Not so effective in:
 - a) boosting agg d; consider the liquidity trap or 'zero lower bound' issues where long-standing v low interest rates have failed to spark recovery eg Now!!
 - b) addressing structural issues such as high CAD, low productivity
- Conflicts; eg ↑ cash rate to ↓ infl but may cause ↑ unemp; or ↓ cash rate to ↑ growth but may cause ↑ d for M and worsening of balance of trade/CAD

Judgement:

- Over the longer term, the RBA has done well to manage inflation targeting. Australia achieved world record of years without a recession so successful, despite current issues...
- However, CPI has been below target for most of the last 5 years
- May have been more effective if supported by fiscal policy stance during the secular stagnation phase; latter was contractionary due to political constraints of getting 'back in black'/rid of the deficit/↓ govt debt
- Cutting the cash rate has been v ineffective now that we are effectively 'zero bound'
- Unconventional measures have helped but maybe criticised as much of the increased liquidity is just sitting in banks' ESAs. Banks now have massive liquidity which they can't lend out whilst confidence is so low but, when the economy recovers, have we just enabled them to make profits?? A 'moral hazard'??
- Monetary Policy is now certainly playing a supporting role to fiscal policy in response to the COVID crisis.

SGS HSC TRIAL EXAMINATION 2021

26. Assess the effectiveness of fiscal policy in Australia in achieving its objectives.



CRITERIA	MARKS
• Demonstrates factually precise and extensive knowledge to develop a logically sequenced answer that clearly assesses the effectiveness of fiscal policy in terms of achieving its objectives. • Uses relevant data to support a contemporary and comprehensive discussion that recognizes the objectives under which fiscal policy is set • Integrates economic terms, concepts, issues, relationships and theory in a highly competent manner	17 - 20
• Good use of appropriate knowledge to develop an answer that highlights the effectiveness of fiscal policy in terms of achieving its objectives. • Uses relevant data to support a discussion of the objectives under which fiscal policy is set, but lacking some depth of analysis • Sound usage of economic terms, and concepts and relationships are applied in reasonable detail	13 - 16
• Uses correct and usually relevant information to demonstrate some knowledge and understanding of the effectiveness of fiscal policy in terms of its objectives. • Discussion of the effectiveness of fiscal policy is flawed in places, detracting from the quality of the response • Use of economic terms, concepts and relationships is limited, highlighting weak comprehension	9 - 12
• Lacks any development of a suitable response • Makes minimal use of data to support discussion • Use of relevant economic terms, concepts and relationships is extremely limited	5 - 8
• A response that reflects a standard barely above a non-attempt	1 - 4

MARKS

20 - 2; 19 - 4; 18 - 2; 17 - 3; 16 - 7; 15 - 3; 14 - 3; 13 - 6; 12 - 4; 10 - 1

Mean = 15.4 & Median = 15/16

COMMENTS

- The standard certainly varied. The better answers mostly worked within time periods, outlined leading indicators, prioritised objectives (both economic **AND** political), discussed policy stance and **ONLY THEN** examined the effectiveness of the policy
- Many wrote all they know on fiscal policy theory and a narrative about changes in stance without answering the question - **Assessing the effectiveness**
- Also there is a need to talk re fiscal policy 'history' to some extent **AND** give some background into the most recent (ie 21/22) Budget
- There is a long **IMPLEMENTATION LAG** (once, maybe twice per year) but short Impact Lag (can be immediate)
- **STATS, STATS** and more **STATS**...are needed to write a decent response

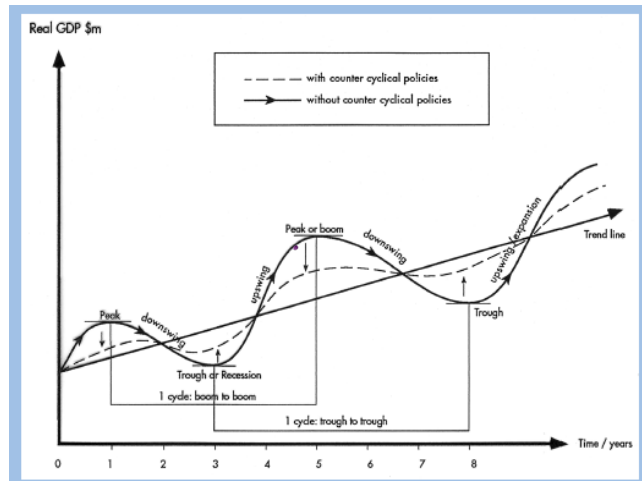
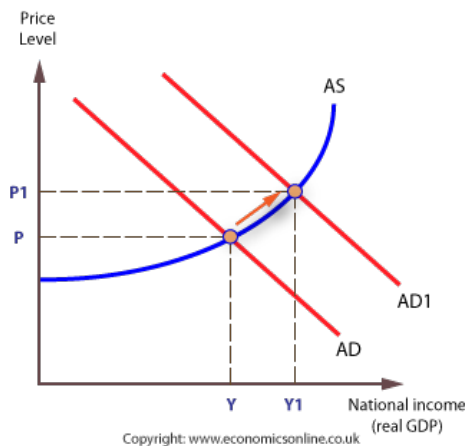
Answers could include:

INTRODUCTION

Definition of fiscal policy, objectives (economic – growth, resource allocation, Y dist & national savings – and political) and v general statement about effectiveness

GENERAL

Relevant theoretical diagrams: FP as instrument of macro policy (Cyclical/Demand-Side/ $Y=C+I+G+X-M$), countercyclical auto stabilisers or income and expenditure analysis. Please LABEL correctly and REFER to them if you include them.



FISCAL POLICY

Introduction

- Use of Federal Govt's budget to achieve its objectives
- General impacts on/objectives are eco growth, reallocation of resources, income distribution and national S
- Keynesian 'pump priming' the eco to boost it out of slowdown/recession; e.g. Rudd in the GFC and current emergency settings in 2020/21
- Objectives have varied with the times

Recent Policy

i) GFC 2008-10

Rudd's 'Cash Splash' of \$70bn (\$ handouts to families & pensioners, education infrastructure, 'pink batts', etc) over 2 years kept the economy out of a recession by adding 2% to GDP to get an actual figure of 1.4% (2009)

BUT this did move the public sector into net debt, after Howard had actually paid off the debts and even started saving prior to the GFC.

ii) 2011 - 17 Budgets

4 key goals:

- 1) Fiscal Consolidation and return to surplus
- 2) Lift Workforce Skills and Participation
- 3) Boost Infrastructure Capacity
- 4) Increased Spending on Priority Areas

A series of successively smaller deficits were planned. The overriding aim of both Labour and Liberal budgets has been to reduce the deficit/get the budget back into surplus because of political pressures of their own making; ie their pre-election(s) promises!! At the beginning of this era this contractionary stance supported monetary policy but once the RBA started to ↓ the cash rate, the macro policies were in conflict and they remained so until 2020.

However, it is worth noting that each budget has suffered from 'blow outs' ('unforeseen' ↑ in G and/or ↓ in T, mainly because of automatic stabilisers kicking in as the economy slowed). The 4-year forecast for each of these budgets had the outcome back into surplus in its 4th year but none got there!

Some key items

- 2% deficit repair levy for those earning \$180k removed from 1/7/17
- 2 major new initiatives:
 - 1) **Increase in Medicare Levy** from 2% to 2.5% from 7/19 to raise \$8.2bn over 4 years towards NDIS funding
 - 2) **Big 5 Bank Levy** of equivalent to 0.06% of deposits over \$250k to raise \$6.2bn over 4 years from 7/17

iii) 2018/2020 Federal Budgets

The stance of both the 2018-19 budget and 2019-20 budget were mildly contractionary –with a change of 0.2% of GDP in the budget outcome (2019) and 0.6% of GDP in 2020 as Frydenberg wanted the budget to be '**BACK IN BLACK**'!!

Note that 0.2% of GDP is around \$3.2b in an economy of \$1.8t – in other words, not a significant difference at all in terms of being a drag on growth. Indeed, it was thought the actual outcome for 2018-19 may turn out to be expansionary depending upon the actual level of tax receipts and the

impact on that of external factors of commodity prices, overseas interest rates, the A\$, trade tensions, the participation rate and the level of wages growth.

Importantly, the improvement in the 2018-19 budget fiscal outlook was not policy driven but rather the result of some "heroic assumptions" (Grattan Institute) such as wages growth of 3.5% per year when was at then record low of 1.9%

The political constraint of re-election had a significant impact on the policy setting of both budgets, including:

- introduction of a speed limit on taxes as a percentage of GDP - keeping taxes as a share of GDP within a 23.9% cap (introduced 2019 and kept 2020)
- introducing the **Personal Income Tax plan** - an offset for low and middle income earners (max \$530 per year increased to \$1,080 per year in the 2019/20 Budget) and lifting the 32.5% tax bracket to \$90,000 (from \$87,000) from 1 Jul 2018 - reducing revenue by \$13.4b over 4 years (impacting over 10m Australians)
- cancelling the proposed 0.25% Medicare increase to fund the NDIS program (from the 2017/18 budget) - reducing revenue by \$12.8b over 4 years
- targeting the black economy in illicit tobacco sales and generally - increasing revenue \$6.1b over 4 years
- extension of the small businesses \$20,000 instant asset write-off to encourage investment, increased to \$30,000 in 2020 for business up to \$50m turnover
- \$24.5 billion for new nationally significant transport projects

iv) 2020/21 - UNPRECEDENTED STIMULUS IN RESPONSE TO CORONAVIRUS SPREAD

'Back in Black' was abandoned. The huge scale of the fiscal support program pushed the budget deeply into deficit and substantially lift government debt levels. \$214bn was the prediction. The government announced a lift in the debt ceiling from \$600 billion to \$850 billion *'to ensure it has the capacity to deal with the ongoing economic impact of the coronavirus.'* In addition, the date of the 2020-2021 Budget Statement was delayed from May until Oct 2020.

Jobkeeper	
Until September 27, 2020	\$1500 per fortnight
September 28, 2020 – January 3, 2021	\$1200 per fortnight OR \$750 per fortnight for those working 20 hours or less
January 4, 2020 – March 28, 2021	\$1000 per fortnight OR \$650 a fortnight for those working fewer than 20 hours a week
Jobseeker	
Until 24 September, 2020	\$565 per fortnight, plus the \$550 Coronavirus supplement (\$1115 per fortnight)
September 25, 2020 – December 31, 2020	\$565 per fortnight plus a \$250 Coronavirus supplement (\$815 per fortnight)

The above provisions were then extended to help alleviate financial issues related to Covid

iv) 2021/22

INTRODUCTION

2019/20 -\$85.3bn (actual)

2020/21 -\$161bn (-7% GDP; actual)

*So massively expansionary stance although less than when set down in 10/20 as then said -\$214bn but growth rebound was larger than forecast

2021/22 -\$106.6bn (-5% GDP; forecast)

*So actually contractionary but see below

ECONOMIC GROWTH

The budget aims to build on the economic recovery which has taken place over the last twelve months. Growth is forecast to be above 4 per cent during 2021-22 and the economy has now surpassed its pre-pandemic level of output. Since the last budget over half a million jobs have been created with the unemployment rate forecast to be below 5.0 per cent next year.

The economic recovery which has taken place has been greatly dependent on government stimulus spending and support.

In this budget, stimulus is still being provided by the government through the large budget deficit that will occur during 2021-22.

However, initiatives announced in the budget will (over the forward estimates) change the level of support that the economy will receive from government spending (it will reduce).

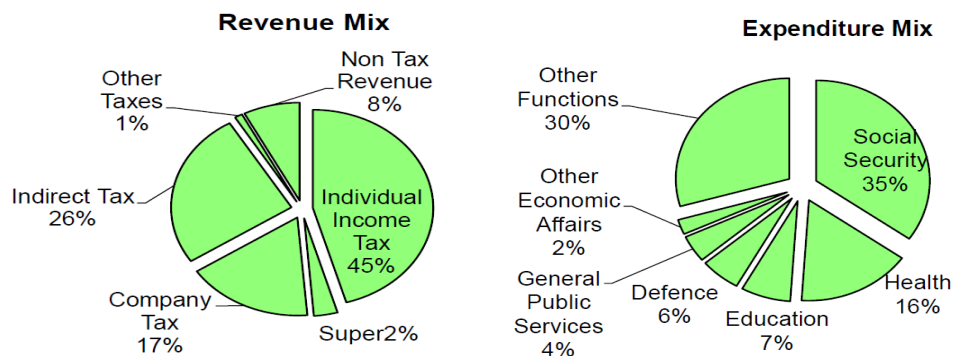
Gradually, it is expected that consumers and businesses will increase their levels of spending and investment, as a result of tax cuts and other incentives and will become the main drivers of growth over the coming years. If this occurs, the size of the deficit as a share of GDP will gradually fall as receipts from income and company taxes will rise at a faster rate than government spending. However, this will come at a cost to the nation as government debt levels will continue to rise, imposing a debt burden on future generations.

In theory, the move back to smaller deficits for the rest of this decade should result in fiscal policy having a less expansionary/contractionary impact on the economy over the coming years. The smaller deficits will mean that fiscal policy will not play as big a role as a demand management tool as it has over the last two years.

Impact on cyclical unemp via Okun's Law

The expected faster growing economy (4.25 per cent) will bring down the unemployment rate to below 5 per cent during 2022. This will be driven by the government's past and current spending initiatives as well as the increase in household incomes due to the tax cuts given to low and middle income earners.

RESOURCE ALLOCATION



Some specifics:

Structural Unemp: \$2.7bn to fund 170,000 new apprentices and trainees plus \$506m to extend the Job Trainer scheme delivering 163,000 training places (matched by the states). This will address skills shortages due to fall in migrants due to border closures

Infrastructure: Extra \$15bn so promised total now is \$100bn over 10 years (roads, rail, ports & airport)

Childcare: \$1.7bn subsidy for fees (means tested) & \$2bn early childhood education

Health: \$1.9bn vaccine rollout, \$2.3bn mental health and suicide prevention & \$13.2bn extra for NDIS

Aged Care: \$17.4bn over 4 years for 80,000 new home care packages (=less than half of what was needed according to the Royal Commission)

Women: \$261.4m over 2 years for tackling issues of domestic violence and \$164m for other related measures (again, much less than expected)

Tourism and Arts: \$2.1bn for targeted support to industries such as airlines, the arts and international education

Home Ownership: 10,000 more places on First Homeowners Scheme and 10,000 places for single parents (who have only a 2% deposit)

Y DISTRIBUTION

Continuation for a further twelve months of the Low-and Middle-Income Tax Offsets, which means a tax cut of up to \$1080 for individuals and \$2160 for dual income couples. The maximum benefit will go to those whose income is between \$48 000 and \$90 000 per year. This will benefit 10.2 million people at a cost to revenue of \$7.8 billion.

The announced changes are not expected to significantly impact income distribution. The continuance of tax cuts for low to middle income earners will keep the existing gap between them and those on higher incomes more or less the same.

Increased funding for childcare will assist many families by reducing childcare costs and will allow them to increase their working hours and incomes. The improved jobs outlook, which will see unemployment fall will also be beneficial to those who are currently under or unemployed. This should also bring about higher levels of labour force participation.

Initiatives aimed at supporting the elderly, those suffering from mental health problems, superannuation changes and spending on domestic violence will help many vulnerable Australians. The continued spending on the Covid-19 vaccine rollout will also ensure that Australians avoid the worst of the impacts of the virus that many other nations have and are still facing.

Important Note: The whole tax package announced previously was re-endorsed. Merging the tax brackets at the top end of the Y scale will mean that almost 60% of the total benefits will go to the top 20% of Y earners. Clearly worsening Y dist

...AND WEALTH DISTRIBUTION

The superannuation guarantee will be expanded to include people earning less than \$450 per month, which will be of benefit to those employed on a part-time or casual basis.

From July 1 2022, those over 60 years of age will be able to make a one-off contribution to their superannuation savings of up to \$300 000 per person (\$600 000 per couple) when they sell their family home.

NATIONAL SAVINGS/EXTERNAL STABILITY

As stated previously, the 2021-22 budget is forecast to have an underlying cash deficit of \$106.6 billion (equal to 5.0 per cent of GDP).

According to the forward estimates the measures which have been put in place are expected to see budget deficits get smaller over the coming years. By 2024-25 the underlying cash balance will fall to around -\$57 billion or 2.4 per cent of GDP. However, deficits are still expected to occur for the rest of this decade.

This means that the cumulative budget deficits over the forward estimates will add \$342.4 billion to government debt levels. Net debt will rise from \$617.5 billion (equal to 30.0 per cent of GDP in 2020-21) to \$980.5 billion (40.9 per cent of GDP) in 2024-25.

Impact on external stability is unclear. Our debt levels are still relatively low compared to other countries' and our AAA credit rating remains intact for the time being.

According to the Twin Deficits theory, increases in Budget deficits will increase a CAD as interest repayments will need to be made on funds borrowed from overseas to fund those deficits (via selling of Commonwealth Govt Securities/Bonds)...but this might be over-simplistic...

According to the Pitchford Thesis, CADs don't matter if they are driven by rational, profit seeking private sector decisions.....Does our public sector debt of 41% push us over this edge?

Advantages:

- Very short impact lag....measures can be introduced virtually immediately. Some treasurers have been cunning. Announcing \$ spending in May and getting it out before end of June so it counts in that year's budget, not the one they are announcing!!!
- Can (and should!!) be 'TIMELY, TARGETTED & TEMPORARY'...so can be extremely effective
- Will have a multiplier effect

Disadvantages:

- Long implementation lag; only set once pa (May) – except emergency settings
- Politically motivated so has focused on short term rather than medium/long term, with particular emphasis on reducing the budget deficit/debt

LIMITATIONS OF FISCAL POLICY

There are a range of limitations and constraints on fiscal policy. Whilst the impact time frame is quite short (a few months), there are a range of economic and political constraints which impact fiscal policy. Constraints include time lags, global influences and political constraints.

In the recent Australian context, the following are limitations or enablers in relation to fiscal policy:

Current business cycle	The contractionary impetus of the tail of the mining investment boom limited revenue growth, which limits the use of fiscal policy to improve income distribution. Bounce in commodities prices, improvement in global growth and increased employment has increased collections of personal and corporate income taxes (\$40b over 5 year increase).
Global business cycle	The GFC significantly narrowed Australia's policy choices. Without the GFC, Australia would have continued with small surpluses, which could then have been used to provide the financing for expansionary budgets to manage the tail of the mining investment boom. On the other hand, the growth impetus provided by the industrialisation of China and the mining investment boom provided fiscal policy options in relation to retiring debt, reducing taxes, increasing social welfare payments and saving modest surpluses. An economic downturn in China, or global trade tensions, would operate as a constraint on domestic fiscal policy choices.
Current borrowing and saving position	Where existing government debt (borrowing) is too high, this may preclude future borrowing to fund expansionary budget outcomes. Where savings are available, this may provide the fiscal space in order to respond to adverse shocks in the economy. Rebuilding fiscal space is the objective of fiscal consolidation, which results in pro cyclical rather than counter cyclical fiscal policy.
Demographics	Population demographics, for example the ageing of the population, puts pressure on the budget by increasing social welfare spending and health spending, which will worsen the budget position unless taxes rise (health costs increasing faster than inflation).
Globalisation impacts	Globalisation, tariff reductions and movement of jobs overseas may increase imports, lower AD, reduce personal and company income tax receipts, increase unemployment, and increase social welfare payments, retraining spend, and industry adjustment programs.
Previous micro reform	Financial deregulation (floating dollar in particular) provided an important shock absorber for the economy (slowing non mining parts of the economy) resulting in a smaller role for macro (fiscal and monetary policy) in managing the fluctuations in the level of economic activity.

However, one of the most important constraints on fiscal policy is the **political constraint** – which has two dimensions: getting laws passed, and getting elected. The budget is a **law**, which requires legislation to be passed to put in place. In recent Australian political history, the party in office (which controls the House of Representatives) has not controlled the second chamber of the Parliament, the Senate. The impact of this on fiscal policy is that whilst disputed measures can be easily passed in the House of Representatives, they never become law because the Senate refuses to pass them. This was the case, for example, with the Hockey zombie measures and delays to Turnbull's corporate tax cut proposals.

Judgement:

- Due to political focus on ↓ deficit/debt, fiscal policy has conflicted with monetary policy's expansionary stance in recent time
- However, as mentioned above, Australia has had record period of growth, contained inflation and lowish unemployment, ↓ CAD, etc...although could we have performed better??

Q27

“Compare the Impacts of Globalisation on both the Australian and one other economy.”

CRITERIA	MARKS
• Demonstrates factually precise and extensive knowledge to develop a logically sequenced answer that clearly compares the impacts of globalisation on both the Australian and Chinese economies. • Uses relevant data to support a contemporary and comprehensive comparison • Integrates economic terms, concepts, issues, relationships and theory in a highly competent manner	17 - 20
• Good use of appropriate knowledge to develop an answer that highlights the impacts of globalisation on both the Australian and Chinese economies. • Uses relevant data to support a discussion of the objectives under which fiscal policy is set, but lacking some depth of analysis • Sound usage of economic terms, and concepts and relationships are applied in reasonable detail	13 - 16
• Uses correct and usually relevant information to demonstrate some knowledge and understanding of the impacts of globalisation on either/or both the Australian and Chinese economies. • Discussion of the impacts of globalisation on either/or Australia or China is flawed in places, detracting from the quality of the response • Use of economic terms, concepts and relationships is limited, highlighting weak comprehension	9 - 12
• Lacks any development of a suitable response • Makes minimal use of data to support discussion • Use of relevant economic terms, concepts and relationships is extremely limited	5 - 8
• A response that reflects a standard barely above a non-attempt	1 - 4

Average: 15.8, Std Dev 4

Max: 20; Min 5

NESA Directive:

“Compare - Show how things are similar or different”

There were several variables in this question:

- **Impacts of Globalisation**
- **The Australian Economy**
- **The Chinese Economy**
- **AND the comparison of these effects**

When you consider the phrase “Impacts of Globalisation”, there are also several components to this phrase-

- Which aspects of Globalisation? The list of 8 from the syllabus is a good place to start...

- Which aspects or types of impacts? EG? ED? You could even go more detailed and talk impacts on trade; financial flows; technology etc; labour flows and labour markets; Supply chain networks; structural change etc...

Overall

Many responses showed a detailed understanding of both Chinese and Australian government responses to globalisation, including the embracing of globalisation through TA's and trade and financial flows. However, despite being related to the question, this wasn't the question.

Many responses didn't state which impacts they were discussing. The syllabus says EG and ED, so that's also a good place to start...

Many responses did a good job. Many could still be improved. Many lower marks were due to time management issues. This is the last question of the exam.

Structural advice

In any Economics essay, the introduction needs to do several things. Take this as a formula, and never stray from it!!!!

A good intro does the following-

1. **Defines any technical terms.** You don't have to waste time saying..."The definition of XXX is...." You can simply just drop the definition in, when you first mention the term.
2. **Answer the question, or state your hypothesis,** if it is a statement rather than a question.
3. **Set parameters for the subject and scope of essay**—sometimes, your definition can help you with this. In this example, when you defined Globalisation, you were setting the parameters for what you were going to write about eg: impacts of trade; impacts of financial flows etc... You should also have set parameters for the 'impacts' that you were going to include—impacts on EG and ED etc...

EG of a good Intro

"Globalisation is the increased integration and synchronisation of economies across the globe. Globalisation has had a transformative impact on both China and Australia's economies since the 1980's as policies and agreements were signed to embrace globalisation, leading to rapid increases in EG and ED. However, in pursuit of the positive impacts of globalisation, other aspects of ED have been to an extent, sacrificed in both, such as environmental degradation and growing inequality."

Answers could/should have included:

Globalisation aspects

Integration and Synchronisation of the IBC and RBC's

Trade flows-Composition/direction/volume/value

Financial flows-value, FDI vs portfolio investment

TNC influence

Impacts of global organisations esp WTO

Impacts of trade agreements

Just saying "...and this explains the impact of globalisation on China" at the end of a paragraph. This doesn't explain it. Explaining the impact would mean explaining what aspect/driver/effect of globalisation caused this impact on the economy and how.

China Impacts

EG-AD and AS through trade

Synchronisation

Volatility

Trade impacts-direction, volume, composition

Fin flow impacts-Productive capacity;

X rate impacts

Trade agreements

Urbanisation

Labour market impacts

Development-Environment- Link to TNC, trade impact-articulate both positive and negative impacts

Development-Inequality-Link to TNC, trade, fin flow impact-positive and negative impacts

Development-SOL indicators eg poverty rate changes; HDI changes; life expectancy changes

Volatility of IBC therefore gov't intervention

Secular stagnation of major trading partners EU and USA

Covid impacts

Rise of manufacturing in other SE Asian nations-Engel coefficient

Sharing of R&D and tech

Rise of protectionist and anti-chinese government sentiment

Structural change

OBOR—new globalisation impacts

ED

External Stability impacts

Labour Force impacts- international division of labour

Education

Australia Impacts

Synchronisation

Volatility

Trade impacts-direction, volume, composition

Fin flow impacts-Productive capacity;

KAFA implications, CAB impacts

X rate impacts

EG-29 years; ave growth rates—Link to both AD and AS influences over growth

AD through increases in X; As through increases in allocative efficiency, EoS comparative advantage

SOL-HDI

Structural change

Structural Un

Inequality linked to structural change

Role of Fin Flows in increasing productive capacity eg MB1&2

ED

External Stability impacts

Labour Force impacts-structural Un; skills gaps; international division of labour

Education

Tips for Improvement

1. MANY of you have excellent knowledge of policies that China has used to engage with globalisation. But, the question wasn't how has each economy responded to globalisation or how has the government embraced globalisation, but impacts of globalisation.... Yes, they relate to each other but no, they are not exactly the same thing!
If you know the policies and their effects on the economy, you actually have the knowledge to answer this question. But, you do need to 'filter' the information from the perspective of the question. Using the wording of the question (or synonyms for the wording of the question) will keep you on task and focussed on the question.
2. Many people ran out of time. There will always be time pressure, so this makes it even more important to DIRECTLY answer the question from the start. Make the larger, statements that direct your response parameters and then they won't be missing from the response if you do run out of time. The 'must acknowledge' aspects of the question should be stated early on. In this case, it was in the intro, with the IMPACTS of globalisation affecting EG and ED in both countries significantly. Use the key wording of the question. Key words-Effects, globalisation
3. The question wasn't "what policies have enabled china and Australia to use globalisation to achieve EG, it was what were the IMPACTS of globalisation AND COMPARE them! Yes, the effects came about through policies to engage with globalisation, but the question focus is on WHAT effects, not HOW come these effects happened.

EG #1

NOT question focused

"Deng Xiao Ping's policy saw China enter the global economy"

Question focused.....should read

"Because of Deng's policies, the impacts of globalisation were felt more keenly. Trade liberalisation enabled the globally increasing trade volumes to impact Chinese trade flows more readily. The changed global trade volumes, composition and direction meant that impacts to Chinese trade contributed more to the increase in AD than otherwise....."

EG #2

"China has embraced globalisation through policies to allow the large movement of financial flows"... should be " China has embraced globalisation's large movement in financial flows, thus allowing for impacts ..."

EG #3

Globalisation resulted or sparked financial liberalisation

4. The comparison could have been done more deeply and with more analysis. Less focus on how the policies enabled globalisation, more focus on the comparison of impacts of globalisation would have been better.
When comparing, some words can help...

“Furthermore, globalisation allowed a significantly higher proportion of TNC’s to...In China....**whereas** in Australia....”

“Australia, **similarly** to China felt the impact of....”

“As with China....”

“One key aspect of globalisation, the proliferation of trade and financial flows has impacted both economies....”

“The emergence of global organisations such as the WTO has positively impacted both countries....”

“The growth of TNC’s is also a key factor of globalisation impacting China more significantly than Australia.....”

5. Don’t just ‘describe’ the development levels of China and Australia, link them to the impact of globalisation on these development levels and compare that!

EG

The increased number of TA’s that Australia signed due to the role of global organisations and proliferation of trade agreements, allowed increased efficiency gains through EoS and comparative advantage. This not only increased AD, but AS as a result.

EG

“Responding to the shift of resources required to integrate into the global economy”

6. Use formal language-The following words are not formal. “Huge”, “massive”, “manufacturing has died”, “Meanwhile, in Australia”.

The question wasn’t “Describe China and Australia’s economic growth and development”

Eg: of rushing points, cramming them together, and not addressing the question.

“Creation of SEZ’s permitted FDI and saw China embrace manufacturing, which is a result of it’s large population”

Better

Globalisation permitted greater FDI flows into SEZ’s in China. This increased Chinese productive capacity as the FDI primarily took the form of TNC establishment of production facilities. Increased productive capacity caused AS lead growth. The TNC’s also impacted China’s trade composition, as it embraced manufacturing, utilising it’s comparative advantage of STM, owing to its large population. Trade volume also increased as a result, fuelling AD lead growth.

Question 28

“Compare the impacts of changes in the Global Economy on Australia’s internal and external objectives.”

CRITERIA	MARKS
• Demonstrates factually precise and extensive knowledge to develop a logically sequenced answer that clearly compares the impacts of changes in the global economy on Australia’s internal and external objectives. • Uses relevant data to support a contemporary and comprehensive discussion that recognizes the objectives under which fiscal policy is set • Integrates economic terms, concepts, issues, relationships and theory in a highly competent manner	17 - 20
• Good use of appropriate knowledge to develop an answer that highlights the impacts of changes in the global economy on Australia’s internal and external objectives. • Uses relevant data to support a discussion of the impacts of the global economy on internal and external objectives • Sound usage of economic terms, and concepts and relationships are applied in reasonable detail	13 - 16
• Uses correct and usually relevant information to demonstrate some knowledge and understanding of the impacts of changes in the global economy on either/or Australia’s internal and external objectives. • Discussion of the impacts of changes in the global economy on either/or internal or external objectives is flawed in places, detracting from the quality of the response • Use of economic terms, concepts and relationships is limited, highlighting weak comprehension	9 - 12
• Lacks any development of a suitable response • Makes minimal use of data to support discussion • Use of relevant economic terms, concepts and relationships is extremely limited	5 - 8
• A response that reflects a standard barely above a non-attempt	1 - 4

Average: 16.4

Std Dev.: 4

Max:20

Min:9

NESA Directive:

“Compare - Show how things are similar or different”

There were several variables in this question:

- **Impacts of Changes in the Global Economy**
- **Australia’s Internal Objectives**
- **Australia’s External Objectives**
- **AND the comparison of these impacts**

When you consider the phrase “Impacts of changes in the Global Economy”, there are also several components to this phrase-

- Which aspects of the global economy have changed? The list of 8 globalisation/global economy aspects from the syllabus is a good place to start...but remember it's the change in these aspects
- Impacts on Internal Objectives. Strictly speaking this is usually interpreted as EG; Inflation; Un. However, you could also include: Y dist'n, environmental sustainability, resource reallocation, structural change.
- Impacts on external objectives. Strictly speaking this is usually interpreted as external stability and the myriad of this that includes-CAbalance; foreign debt, Xrate stability; ability to conduct domestic policy. However, you could also include: trade flows and agreements, comparative advantage etc

Structural advice

In any Economics essay, the introduction needs to do several things. Take this as a formula, and never stray from it!!!!

A good intro does the following-

4. **Defines any technical terms.** You don't have to waste time saying..."The definition of XXX is...." You can simply just drop the definition in, when you first mention the term.
5. **Answer the question, or state your hypothesis** (if it is a statement rather than a question).
6. **Set parameters for the subject and scope of the essay**—sometimes, your definition can help you with this. In this example, how you defined internal and external objectives, provided the parameters for what you were going to write about eg: Defining Internal stability-as interpreted by sustainable EG, Inflation within the target band & full employment means that you had set parameters for the 'impacts' that you were going to include.

Overall Comments:

Can't write an essay on globalisations impacts on external or internal stability without defining those terms **and** measuring those terms

Some people interpreted external objectives as external stability; others interpreted external objectives as trade; fin flows; tech flows and BOP considerations.

Best stat of the marking session: "The RBA estimated in 2017 that 63% of changes in Australia's GDP can be explained by changes occurring with the G7."

Balance of trade-off between internal and external objectives should have been discussed.

Comparison of the impacts leads to the trade-off between the two objectives being observed.

->Trade off made when opening up to global economy- losing external stability.

Many responses showed an understanding of both internal and external objectives as well as an understanding of the changes in the global economy.

Most responses were able to identify some aspects of the global economy that had changed

Too many people did not **comprehensively** address the main internal and external objectives, or comprehensively address the important changes in the global economy. This may have been a time management issue as again, this is the last question of the exam. It could also have been a knowledge issue.

Many responses did a good job. Many could still be improved. Many lower marks were due to time management issues.

Answers could include:

- **Impacts of Changes in the Global Economy**
- **Australia's Internal Objectives**
- **Australia's External Objectives**
- **AND the comparison of these impacts**

Changes in the Global Economy causing the impacts

- Changes to trade-volumes, values, composition, direction
- Changes to financial flows-Portfolio, FDI
- Forex market flow increase- \$AUD 5th most traded currency
- Increased integration
- Increased synchronisation
- Volatility-Covid., GFC
- Free trade/protection trends
- IBC growth
- Secular Stagnation
- RBC growth
- Regional development
- Proliferation of TNC's
- Technology, transport and communication changes
- International division of Labour changes
- Immigration changes-Pre and post covid
- Overall theme of changes pre Covid and changes due to Covid

Impacts on Internal Objectives

1. EG

Trends Pre and Post Covid
Mining Boom growth
AD and AS impacts

2. Inflation

Impacts to both demand side and cost push inflation
Impacts to imported inflation

3. Unemployment

Impacts on cyclical Un
Impacts on structural Un
Impacts on long term or hidden Un

Some people also discussed

4. Impacts on Inequality (due to structural change)
5. Impacts on the environment

Impacts on External Objectives

1. BOGS and trends
2. CABalance and trends
3. Xrate volatility
4. Impacts of foreign liabilities-both debt and equity
5. Pitchford thesis
6. Volume and value effect
7. Structural factors mean more exposure-small, open economy; savings/investment gap; high capital requirement in past

Comparison was important.

Identifying impacts and showing how the impacts were similar or different.

Comparison of the impacts shows that changes in the global economy affect internal and external objectives differently.

Inverse relationship stemming from the trade-off between objectives.

The floating dollar plays a 'shock absorber role'.

Generally, we take a hit to external stability when we rely on global economy to achieve growth.

Tips for Improvement

1) MANY of you have knowledge of the factors above, but didn't use them to answer the question. Described rather than compared. Again, you need to 'filter' the information from the perspective of the question. Using the wording of the question (or synonyms for the wording of the question) will keep you on task and focussed on the question.

2) Many people ran out of time. There will always be time pressure, so this makes it even more important to DIRECTLY answer the question from the start. Make the larger, statements that direct your response parameters and then they won't be missing from the response if you do run out of time. The 'must acknowledge' aspects of the question should be stated early on. In this case, it was in the intro, with the IMPACTS of globalisation affecting EG and ED in both countries significantly. Use the key wording of the question. Key words-changes, global economy, internal, external

3) The comparison could have been done more deeply and with more analysis. Less focus on the changes in the global economy, more focus on the **comparison** of impacts on internal vs external objectives.

"Furthermore, increases in global financial flows (insert stat to prove), allowed a significantly higher productive capacity to be reached in Australia through foreign investment flows. This increased productive capacity allowed for increases in AS lead Economic growth. During the mining boom. Australian growth reached...**whereas this impact was positive for internal objectives such as EG, and reducing cyclical Un, for external stability as it meant that the levels of foreign liabilities grew markedly (stat to prove).**"

4) When comparing, some words can help...

Useful comparing words:

- similarly
- in contrast
- in comparison to
- comparably
- corresponding
- in parallel
- although
- by contrast
- conversely
- however
- whereas
- yet
-

Don't leave the comparison until the conclusion. It should appear throughout. Especially when you are at the tail end of a 3 hour paper.

5) Don't just 'describe' the changes, the impacts on internal objective or external objectives, compare them!

6) Use formal language-The following words are not formal. "Huge", "massive", "manufacturing has died", "Meanwhile, in Australia".

7) Repeat after me.... "Use paragraphs." Take a breath, keep 1 point to 1 paragraph. Rushing points means points get lost or have less impact.